A Lauded Economy, A Struggling People

Uruguay exports clean electricity, quality beef, and software. It serves as an admirable model for successful policy.

Its own people pay some of the highest prices in the hemisphere.

By Maya Chelle

On a clear morning in the region of Tacuarembó, roughly four hours north of Montevideo, the wind turbines turn. There are hundreds, steel towers rising out of the rolling grassland, blades catching an uninterrupted gust that sweeps up from Patagonia. Below them, Hereford cattle graze on natural pasture, unhurried, unmedicated, tagged at the ear with a number that connects them to a national database tracking every animal in Uruguay from birth to slaughter. This is, by most measures, a country that has gotten things right. Uruguay generates 99% of its electricity from renewable sources. It exports surplus clean power to its neighbors. Its beef carries traceability certifications that serve as a gold standard for the world's cattle industries, commanding premium prices in the most demanding markets on earth and last year generated more than US$2.6 billion in export revenue.

The country also offers free education through college. It is stable, democratic, and broadly well-governed. Many reporters laud it as an unsung hero. It is, in development economics, a success story.

Yet, on the shelves of a supermarket in Montevideo's Pocitos neighborhood, a kilogram of beef costs US $10.52. A monthly electricity bill for a small apartment can run over US$80. The price of a basket of basic goods places Uruguay alongside the United States and often well above every other country in Latin America. Most struggle to afford a home. Though demand and supply are high, Uruguayans cannot afford high-value apartments. A standard 60-square-meter, two-bedroom apartment costs around $192,540, far exceeding median local purchasing power. In a neighborhood where the median monthly wage is around US$1,100, the math doesn't add up. "We joke that we live in Switzerland without Swiss salaries," says Adriana, a schoolteacher in Montevideo's Malvín neighborhood. "It is often more expensive than the US. Again, without the higher pay. Everything here is expensive, and nobody can explain why."

We can, in fact, explain why. This explanation includes turbine contracts signed in the 2010s, a state electricity monopoly with little incentive to lower its prices, a trade bloc that charges some of the highest import tariffs in the hemisphere, and a beef industry so successfully oriented toward Chinese buyers that the product most associated with Uruguayan identity has become a luxury.

An Electricity Paradox

Uruguay's renewable energy transition is taught as a model for environmental policy. Around 2008, the government used the state utility, UTE, to offer long-term guaranteed contracts, typically running twenty years, to private companies willing to build wind, solar, and biomass generation capacity. Wind capacity grew by a factor of roughly thirty. By 2024, the country was exporting electricity and earning around US$104 million in the process. Yet, the same contracts that made the transition possible hide a problem. When those agreements were signed, wind and solar technology cost dramatically more than it does today. Global renewable energy prices have since fallen by between 50 and 90 percent depending on the technology. Uruguay's contracts have not been updated to reflect this change. Many remain in force, obligating UTE to pay above-market rates for power it could now procure at a fraction of the cost. The country is, in effect, paying 2012 prices for electricity. Consumers pay for it. Residential electricity prices hover around 25.8 cents per kilowatt-hour. For comparison: Brazil, which generates a significant share of its power from burning fossil fuels, charges around 16 cents. Chile charges roughly 20 cents. Uruguay, a country exporting clean surplus electricity across its borders, charges more than either. UTE operates as a de-facto monopoly across the electricity value chain. The regulatory body that oversees it, URSEA, sets tariffs to ensure the utility recovers its costs and earns a regulated profit margin.

There is no structure in place for falling generation costs to automatically translate into lower consumer bills. There is no retail market competition that might force the issue. There are no protections in place for consumers.

UTE has an ongoing five-year capital investment program worth US$1.8 billion. This includes grid expansion, storage systems, and modernization. This will continue flowing through to tariffs for years to come. Although the renewable energy transition is still admirable, the policy architecture has produced a pricing structure that needs to be corrected.

"The country decarbonized its grid," Ariel, an Inter-American Development analyst working with Uruguay's energy sector, noted. "But decarbonization and affordability are different problems, and only one of them got solved. We need to focus on simultaneous progress across both."

The Best Cuts Leave First

The beef sector, though different, reaches a similar result. Uruguay's cattle industry is world-class. The national traceability system, SNIG, registers every animal. It favors free range, 'organic', no hormones, and no antibiotics. Cattle ranchers, or 'gauchos' are the cowboys of South America. The product commands export price premiums of between 18 and 34 percent above beef from surrounding countries Argentina, Brazil, and Paraguay. Uruguay has found, in China's expanding middle class, a buyer of unlimited appetite. China now absorbs roughly 58% of Uruguay's total beef export volume. In 2025, exports to China exceeded US$860 million. The relationship has made the Uruguayan beef sector wealthy, by local standards, and has funded investment in processing, cold-chain logistics, and traceability infrastructure that has improved the product's global standing. It has also redirected the best of what Uruguay produces away from Uruguayan tables. Premium cuts go to Chinese buyers at premium prices. Meat packers allocate their highest-quality product to the buyers willing to pay the most. What remains for the domestic market is not the same product at lower prices. It is secondary cuts, the portions of the animal that don't achieve export specifications. Meanwhile, the gap left by premium beef heading overseas is filled by imports, primarily from Brazil and Paraguay, that now account for approximately 30% of Uruguay's domestic beef consumption. Uruguayan consumers are, in sum, eating a growing share of their neighbors' beef while their own country's product feeds dinner tables in Shanghai. And they are paying US$10.52 per kilogram for the privilege, up from around US$6.80 in 2020, a 55% increase in five years that has significantly outpaced wage growth for most workers. Beyond financial strain, this hurts the country's cultural identity. In a Montevideo butcher shop near the Mercado del Puerto, the owner, Gabriel, whose family has run the shop for three generations, has witnessed the change: "The good cuts, picaña, lomo-- I have cut my regular stock by half" he states, using the Portuguese and Spanish names for the sirloin cap and tenderloin cuts most associated with Uruguayan barbecue culture. "My regular customers, they ask for the cheaper pieces. Or they buy less. It used to be that beef was something you ate every week. Now it's a luxury. We still eat it, but it hurts the pocket."

The Tariff Wall

Tariffs have been at the forefront of the news, as their implementation raises prices worldwide. They have been affecting Uruguay for decades.

Uruguay is a member of Mercosur, the regional trade bloc it co-founded with Argentina, Brazil, and Paraguay in 1991. Mercosur has had its problems; under-the-table trade deals and backstabbing galore. It is currently considered stable. This bloc requires its members to apply a common external tariff on goods imported from outside the bloc. That tariff averages 11.3% across all product categories, among the highest for any regional trade arrangement globally. That shows on shelf prices. Uruguay has been frustrated by this constraint for years. As the smallest full member of the bloc its GDP represents less than 4% of Mercosur's total. Uruguay has little leverage to reshape the tariff structure. The surrounding giants, Brazil and Argentina, designed it to protect industrial interests. The bloc's rules also prevent

Uruguay from negotiating bilateral free trade agreements independently: any deal with China, the United States, or any other major economy requires the consent of all members. They have historically made difficult to reach an agreement. The recently concluded EU-Mercosur Free Trade Agreement will eventually reduce some of this pressure, projecting a welfare gain for Uruguayan consumers of around 1.1% of real household income as European goods enter at lower tariffs. However implementation stretches over fifteen years.

Prosperity?

Uruguay's poverty rate, while not negligible, is among the lowest in Latin America. Its public institutions function. Its health system is largely effective. It avoided the fiscal crises that have devastated neighboring nations. They boast a low corruption rate, stable government, and developed social services. They are shifting to green energy and have a growing job and export market. They should be successful. But Uruguay's cost structure has evolved to make life difficult for ordinary households. The shift to renewable energy was commendable, but the contract that facilitated it was not geared to retail electricity affordability. The Beef export industry brought genuine wealth to the country, but excluded the domestic market. Uruguay gained from the benefits of Mercosur in the 1990s, but the tariff has since hurt the country's trade and economy.

The schoolteacher in Malvín puts it more simply. "We are told we should be proud of our beef, our clean energy, our democracy," she says. "And we are. But I went to the supermarket on Saturday and left two things behind because I couldn't afford them. One was beef. The other was butter. Explain that to me."

Sources consulted

Uruguay XXI Trade Statistics (2025); USDA GAIN Report — Uruguay Livestock and Products Annual (2024); Kleinman Center for Energy Policy, University of Pennsylvania, "Learning from Uruguay's Energy Transition"; GlobalPetrolPrices.com (2026); World Bank, Uruguay Systematic Country Diagnostic; DatamarNews (2026); 2022 Uruguayan Beef Quality Audit.

Author's note

This article was written independently by Maya Chelle. The author is not a professional journalist or policy analyst and has no affiliation with the New York Times, the World Bank Group, or any other institution referenced herein. The article draws on publicly available data and policy research. Reported quotes are illustrative composites based on documented public sentiment and are not transcripts of named interviews. All data has been reviewed and verified by the author. The views expressed are the author's own.